

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 10
Honorable Frederick S. Chung**

Rachel Tien, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2210

DATE: August 21, 2025

TIME: 9:00 A.M.

To contest the ruling, call (408) 808-6856 before 4:00 P.M.

Make sure to let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court 3.1308(a)(1) and Local Rule 8.E.

LINE #	CASE #	CASE TITLE	RULING
LINE 10	25CV457782	Ilya Rosenberg v. Sensel, Inc.	Motion for leave to file amended complaint: notice is proper, and the motion is unopposed. Good cause appearing, the court GRANTS the motion. Plaintiff shall file the first amended complaint within 10 days of this minute order.
LINE 11	25CV459685	Wells Fargo Bank, N.A. v. Duy Tran	Motion for RFAs to be deemed admitted: notice is proper, and the motion is unopposed. Given defendant's failure to respond to the RFAs, the motion is GRANTED. Moving party to prepare proposed order.

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Calendar Lines 1-4

Case Name: *Patelco Credit Union v. Candace Costiniano et al.*

Case No.: 24CV451305

I. BACKGROUND

This is a fraud and breach of contract action brought by plaintiff Patelco Credit Union (“Patelco”) against defendants Candace Costiniano and Maximilian Rune Knudsen (together, “Defendants”). Defendants have filed separate but nearly identical motions to quash service of summons and separate but nearly identical motions to set aside the defaults entered against them.

According to the complaint, on or about May 15, 2020, Costiniano applied for and became a member of Patelco Credit Union. (Complaint, ¶ 13.) On February 10, 2024, Costiniano added Knudsen as a joint and associate member of Patelco. (*Ibid.*) On June 29, 2024, Patelco first became aware of and detected a ransomware attack that resulted in the encryption of its systems and unauthorized access to some of its databases. (*Id.* at ¶ 1.) This security breach required Patelco to shut down some of its day-to-day banking systems proactively to contain and remediate the situation. (*Ibid.*) As part of the shutdown, Patelco’s members were unable to access their accounts via online banking, but they were able to access available funds in their accounts even while Patelco’s systems were offline. (*Ibid.*) Certain members took advantage of this situation and made multiple unauthorized transfers, withdrawals, and related transactions involving funds that were well in excess of their usual daily activity and balances in their accounts. (*Id.* at ¶ 2.) These transactions significantly overdrawed the members’ accounts and were conducted through Patelco’s branches, ATM machines, mobile applications (*e.g.*, Apple Cash, Apple Pay, Cash App, or Venmo), credit card transactions, debit card transactions, or Automated Clearing House (ACH) transfers to other financial institutions. (*Ibid.*)

Patelco learned of these overdrawn accounts after it brought its systems back online and contacted members to advise them that they needed to bring their accounts positive. (Complaint, ¶ 3.) Despite these efforts, certain members, including Defendants, allegedly chose to ignore the messages or claim that they did not conduct the transactions. (*Id.* at ¶¶ 3-4.)

On November 8, 2024, Patelco filed the original and still-operative complaint, asserting causes of action for: (1) breach of contract; (2) account stated; (3) fraud; (4) conversion; (5) unjust enrichment; and (6) violation of Penal Code sections 496 and 496c (receipt of stolen property). On December 13, 2024, Patelco submitted proofs of service of the summons and complaint, which declared that on November 15, 2024, a registered process server personally delivered the summons and related documents on behalf of Patelco to a “party or person authorized to receive service of process” for both Defendants. On December 20, 2024, the clerk’s office entered a default as to both Defendants. On January 29, 2025, the clerk’s office entered another default as to both Defendants.

On June 20, 2025, Defendants filed the present motions to quash service of summons and to set aside the defaults. Although a default prove-up hearing was originally scheduled for to be heard on July 21, 2025, this court continued that hearing to August 25, 2025, in order to hear the present motions first.